What is due to Consult for Africa

Lyfe Place Abuja. One page of totals, then the build for each one.

Dr Itunu Akinware, Group Chief Executive, Medbury Medical Services

Itunu,

Thank you for asking to see our fees on their own. This document covers only that, and I have set out everything behind both numbers in the pages that follow.

The mandate is a substantial one. Six companies incorporated and structured. A 664.3 sqm campus across four structures converted, equipped and licensed. 18 people recruited into it. The doors open in month 3. And the business run thereafter.

We have priced it as two fees because it is genuinely two pieces of work.

The **setup programme** covers everything up to opening. It is priced as resourced time, 178 days across five named grades at our published rates, which comes to NGN 50.6 M gross and NGN 45.5 M after the programme rate. It ends when the campus opens.

The **management fee** is for operating the campus once it trades. We have deliberately subordinated it to your capital: 7.5 per cent of campus revenue until your investment is returned, and 10.0 per cent thereafter. It begins in month 3, so you pay us nothing for it through the fit-out.

Mobilisation is NGN 25 M, payable on instruction. The architect, the mechanical and electrical engineer and the quantity surveyor are passed through at cost, with no mark up from us.

I am happy to take you through any part of it.

Debo Odulana

Founding Partner, Consult for Africa

SUMMARY

Everything due, on one page.

	NGN M	When	Note
Setup programme, payable	NGN 45.5 M	One off	178 days across five grades, after a 10% programme rate
of which mobilisation	NGN 25.0 M	On instruction	Non refundable. Starts the two week design sprint
of which balance	NGN 20.5 M	Four instalments	Each released on a named deliverable, not on hours. Section 01 lists them
Management fee, years 1 to 5	NGN 223.7 M	Monthly, from month 3	7.5% of campus revenue, stepping to 10.0% once your capital is home
Total to Consult for Africa, 5 years	**NGN 269.2 M**		**Built once, then a share of what the campus earns**

Third party, at cost	NGN M	Note
Third party consultants	NGN 12.0 M	Architect and interior designer, mechanical and electrical, quantity surveyor. At cost, no mark up. Sits in the fit-out schedule, not in our fee

01 / THE SETUP PROGRAMME

Billed as time, at published rates.

This is a resourced programme rather than a retainer, so it is priced the way a programme should be. Nothing is loaded on the capital value of the building and nothing is a percentage of your spend.

Grade	000 / day	Days	NGN M
Partner, engagement lead	NGN 750	10	NGN 7.5 M
Principal, workstream lead	NGN 450	35	NGN 15.8 M
Senior consultant	NGN 300	37	NGN 11.1 M
Consultant, including the site engineer	NGN 190	67	NGN 12.7 M

Grade	000 / day	Days	NGN M
Analyst	NGN 120	29	NGN 3.5 M
Programme		**178**	**NGN 50.56 M**

Every day, by grade and by workstream

Workstream	Ptnr	Prin	Snr	Cons	Anly	Days	NGN M
1 Fit-out delivery	2	10	8	30	6	56	NGN 14.8 M
2 OpCos and business cases	2	10	9	22	13	56	NGN 14.4 M
3 Commercial and rate card	3	7	9	7	5	31	NGN 10.0 M
4 Governance and hiring	3	8	11	8	5	35	NGN 11.3 M
Days by grade	10	35	37	67	29	178	
Value by grade	**7.5 M**	**15.8 M**	**11.1 M**	**12.7 M**	**3.5 M**		**NGN 50.56 M**

Partner NGN 750,000 a day, principal 450,000, senior consultant 300,000, consultant 190,000, analyst 120,000. Blended across the programme that is NGN 284,044 a day. Read down a column to see how much of each grade you are buying; read across a row to see what a workstream costs and why.

What each workstream delivers

Workstream	Days	NGN M	What it delivers
1 Fit-out delivery and commissioning	56	NGN 14.8 M	Design coordination, bill of quantities, tender, contractor selection, a site engineer on site 2.5 days a week through the build, commissioning, snagging and handover
2 The operating companies: structure and business case	56	NGN 14.4 M	60 discrete instruments: six incorporations with their memoranda, share allotments, statutory books, tax and bank registrations; two negotiated joint venture shareholder agreements; three sub leases and four occupancy agreements; the division licence; six board constitutions. Plus the business case behind each company, because the objects clause and the revenue model are one conversation. 35 of the 56 days sit at consultant level or below: the filings, the templated instruments and the business case build. The partner appears only on the two negotiated joint venture agreements
3 Commercial: rate card, sessional model, transfer pricing	31	NGN 10.0 M	Room and equipment rate card, membership tiers, booking and billing rules, lease documents, and the transfer pricing file that 84 per cent of campus revenue rests on
4 Clinical governance, campus hiring and the pipeline	35	NGN 11.3 M	Regulatory file, clinical protocols and governance; the credentialing framework and the first cohort; 18 campus posts briefed, shortlisted and hired; the consultant proposition, pipeline and onboarding built and handed to the business development officer
4 workstreams, one mandate	**178**	**NGN 50.56 M**	

	NGN M	Note
Professional fees at published rates	NGN 50.56 M	178 days across five grades
Programme rate	(NGN 5.06 M)	10%, because this is one continuous mandate and not 4 engagements
Payable	NGN 45.50 M	Capped at this figure. Released against the deliverables below

Mobilisation, NGN 25 M, non refundable. It is 55 per cent of the payable fee because month one is 30 per cent of the programme and all of the risk. 54 of the 178 days land in it: the design sprint, the tendered bill of quantities, contractor selection, six companies lodged at CAC, the FCT licence application, and the long lead orders that decide whether you open in month 3 at all.

By week four you should have the measured site design and room data sheets, a tendered bill of quantities, a selected contractor, the incorporations lodged, and the architect, engineer and quantity surveyor appointed. If those are not on your desk, the conversation about the balance is a different one.

What releases each instalment

When	NGN M	What has to be delivered first
On instruction	NGN 25.0 M	Mobilisation. Non refundable, and it starts the design sprint
End of month 1	NGN 5.13 M	Site design concluded and room data sheets issued. Bill of quantities tendered. Contractor selected. Six companies lodged at CAC. FCT licence application filed. Long lead items ordered
End of month 2	NGN 5.13 M	Contractor on site and building to programme. Reception, booking and front office hired. Rate card, sub leases and occupancy agreements drafted
End of month 3	NGN 5.13 M	Commissioning complete, licence granted, campus open and trading. Nursing pool and care coordination in post. Credentialing framework live
End of month 4	NGN 5.13 M	Four clinical business cases delivered. Transfer pricing file issued. Consultant pipeline and onboarding handed to the business development officer
Setup programme, total	**NGN 45.50 M**	**Capped. Never more than this, whatever the days come to**

No instalment is released on elapsed time or on hours worked. If a deliverable is late, the instalment waits. If we take more days than we have priced to get there, that is our problem and the fee is capped regardless.

02 / THE MANAGEMENT FEE

Paid for running it, and only once it runs.

Running a campus, a sessional business and four clinical companies is an operating job. It cannot be billed by the day for seven years, so it sits on a percentage of campus revenue. Two things about how it is set matter more than the number itself.

How it is set		Why
It starts at month 3	Not on instruction	There is nothing to manage until the doors open. You pay nothing for the 2 months of fit-out
It is subordinated to your capital	7.5% then 10.0%	The lower rate applies until your money is home. We are paid properly only after you have been
It is on campus revenue, not group	Excludes the clinics	The four clinical companies upstairs pay us nothing. Only the campus company does

	Campus revenue	Management fee	Effective rate
Year 1	NGN 118.2 M	NGN 8.9 M	7.5%
Year 2	NGN 475.7 M	NGN 38.0 M	8.0%
Year 3	NGN 588.2 M	NGN 58.8 M	10.0%
Year 4	NGN 589.7 M	NGN 59.0 M	10.0%
Year 5	NGN 589.7 M	NGN 59.0 M	10.0%
Five years		**NGN 223.7 M**	

The effective rate rises through year three because that is when cumulative cash turns and the fee steps from 7.5 to 10.0 per cent. On the model as it stands your capital is home in month 33, which is 31 months after opening.

03 / WHAT IS NOT CHARGED

So the total is the total.

		Note
Third party consultants	NGN 12.0 M, at cost	Architect and interior designer, mechanical and electrical engineer, quantity surveyor. No mark up from us. They appear in the fit-out schedule
Success or promote on the ventures	Nil	We take no carried interest in the clinical companies under this mandate
Fee on the fit-out value	Nil	Our fee does not move if the bill of quantities comes back higher
Recruitment fees per consultant	Nil	Signing the consultants sits inside workstream 4, not a per placement charge
Fee during fit-out	Nil	The management fee starts at month 3, not on instruction
Travel and disbursements	At cost	Abuja site attendance is inside the day rates. Travel outside Abuja is not, and is charged at cost with receipts

What this fee does not move with. It does not rise if the bill of quantities comes back higher, because it is days and not a percentage of your spend. It does not rise if the campus outperforms, because the setup programme is capped. And it falls if the campus underperforms, because the management fee is a share of revenue that only exists once there is revenue. At 30 consultants instead of 45 our five year total is about a quarter lower. We are carrying the demand risk alongside you, not billing through it.

04 / TERMS

Short, and all of them.

1	Mobilisation of NGN 25.0 M is payable on instruction and is non refundable.
2	The balance of NGN 20.5 M is released in four equal instalments, each on delivery of the milestone set out in section 01 and not on elapsed time or hours. Capped at that figure.
3	Invoices are payable within 14 days. Work continues while an invoice is current and pauses if one is 30 days overdue.
4	The management fee is invoiced monthly in arrears from month 3 at 7.5 per cent of campus revenue, stepping to 10.0 per cent in the month after Medbury's capital is returned.
5	Either party may end the management appointment on six months' notice. The setup programme may be ended on 30 days, with time worked payable.
6	Scope changes are agreed in writing as additional days at the same published rates. Deprioritised workstreams come off at the same rates.
7	Third party consultants are engaged in Medbury's name where you prefer, or by us and passed through at cost with invoices attached.
8	This schedule is an offer open for 30 days. It is not legal or tax advice.

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Fee figures are day rates times days and do not depend on the financial model. Management fee figures are derived from scripts/lyfeplace_campus.py and move with it. Campus revenue, attributable EBITDA and the payback month are model outputs on the base case, which assumes 45 consultants signed within 18 months of opening. Not a binding offer until countersigned, and not legal or tax advice.